- Role ← forgot to intro
- desision

Wright 3 big points in the case

Historical Analysis

In 2016 to 2017 sales grew 46.3% driven by the prepared meals but in 2017 to 2018 sales only grew by 3.4%. they didn't increase their net income from 2017 to 2018 because there was very little growth in the business. This makes us less likely to give the loan seeing that they aren't growing.

The company has been in negative for the past two years losing $14,481 in 2017 and $12,877 in 2018. This is caused mostly from the large increase of over $200,000 (be exact) of operating expenses, the most notable costs being the Administrative Expenses growing over 50% and the utilities climbing to $70,986 in 2017 from $47,187 in 2016. These number make us more unlikely to approve the loan because they aren't making enough money to take on a loan.

The current ratio is doing down each year and has been under 1:1 since 2017 this means that the liabilities are greater than the assets. This doesn't give us confidence that they can pay back all of their current loans much less any loan we give them.

The efficiency ages are relatively consistent over the three year term. The age of inventory jumped slightly in 2017 from 10.0 to 16.4 days, but this is likely because they started their meal kits that they have to purchase many in advance of sales. Overall, these numbers are okay numbers to see as a bank loaner, the age of inventory of ~~40~~ 15.0 days is over the target of 30 days so this makes uneasy but they owners are projected to get under ~~30~~ 15 and hit 14 days overall this makes me feel better about approving the loan.

The Interest Coverage is N/A every year because there are no long-term loans, this is concerning because we don't have any proof to show if the company can pay off loans.

The numbers from the case show that after 2017 when they started meal kits there was little growth and higher operating profits, which may be caused by the meal kits but the sales show that the meal kits didn't affect the sale numbers in a poor way.
Overall, the company's ability to repay currently is relatively low. They don't have the assets to currently pay back their liability, so they are unlikely to pay back any extra long-term loans that are added to it.

Chat this whole page was useless

I might be a dumbass

is this supposed to go first?

Statement of cashflow

Net cash flow from operations was $33,704 in 2017 and $25,530 in 2018, so it was positive both years but fell by about $8,000 in 2018. could be expanded 3x tie to SOCF

take info from income statement

Net income was negative both years (-$14,481 and -$12,877), so the loss used up cash. Operations still came out positive because of the adjustments below it: depreciation and changes in working capital, mainly accounts payable in 2017 and marketable securities in 2018. expand 2x add depreciation then list the new net income

talk about how we feel

triple length

In 2017 the sources from operations were accounts payable of $83,646 and depreciation of $18,834. The uses of operations were inventory ($32,811), marketable securities ($13,263) and receivables ($8,221) Aswell in 2018 Sources were marketable securities of $28,788, depreciation $18,834 and inventory $3,187 and the uses were accounts payable ($12,036), the net loss ($12,877) and receivables ($366).

Why - meal kit start

WHY!

Not important unless in case

talk about why and how this affects the decision

double length

State Why tie to case facts

Remaining sources in 2017 where only the preferred stock 75,000 and the remaining uses also in 2017 were equipment ($80,250), shareholder loan repayment ($15,000) and dividends ($10,000) the remaining sources and uses in 2018 were uses of; common stock repurchase ($20,000), dividends ($10,000) and shareholder loan repayment ($500). There were no new sources. Outflows of $30,500 exceeded operating cash of $25,530, so cash fell by $4,970, to $2,716.

Wont be on exam

good matching

Always State how for each question

My Recommendations for the company is to stop dividends and share buybacks until the business is profitable. Aswell rebuild cash. $2,716 is very thin against $127,927 of payables. Another recommendation is to reduce reliance on supplier credit, the age of payables is 40 days against net 30 terms, and the plan tightens it to 25. Lastly Fix margins, which are the root problem. Gross margin fell from 55.1% to 48.1%.

double length

include what you want them to keep doing

Stock buy back in 2018 after failed meal kits

therefore more/less likely to grant loan

Financial ratio Analysis (use what, why, how)

- COGS
- deleiver
- operating expenses
- wages

Size: two paragraphs

Liquidity ratio
- Current ratio
- Acid test

what, why, how
the current portion of loan and working capital will make ratios worse

Size: 1 paragraph

Projected statement of earnings

2019 december

	Assumptions	2019 low	2019 high
Revenue			
Prepared Meals	10-30% increase	$1,654,350	$1,955,141
Retail	Same growth %	404,639	404,639
Meal Kits	removed	0	0
Catering	given	25,000	50,000
Membership Fees	Increase 2%	178,707	178,707
Total Revenue		2,262,696	2,588,487
Beginning inventory	2018 end	47,865	47,865
Purchases	COGS-Beg+End	811,037	967,201
Ending inventory	14 days x (GOGS/365)	31,727	37,496
Cost of Goods Sold	50% of sales	827,175	977,570
Gross Profit	revenue-COGS	1,435,521	1,610,917
Operating Expenses			
Administrative Expenses	4% of sales	66,174	78,206
Depreciation	Existing depreciation + (Truck cost ÷ 20 × 9/12)	33,459	33,459
Management Salary	Same $	65,000	65,000
Wages	2018 wages + second chef (8x5x52x30)	484,640	484,640
Rent/Lease	Same $	136,000	136,000
Utilities	Same $	72,303	72,303
Advertising	Same as 2017	50,000	50,000
Insurance	Same $	15,750	15,750
Telephone, Internet, and Network	Same $	11,227	11,227
Delivery Expense	$45,000 + 3.5% × (Sales × 9/12) + wages	88,427	88,991
Miscellaneous	Same $	1,737	1,737
Total Operating Expenses		1,024,717	1,037,313
Operating Income		410,804	573,604
Interest expense	390,000 – (390,000/5) × 5%	15,600	15,600
Income before Tax		395,204	558,004
Tax	12%	47,424	66,960
Net Income		347,780	491,044

Projected statement of retained earnings

	Assumptions	2019 low	2019 high
Beginning Retained Earnings	Given	($13,559)	(13,559)
Add: Net Income	taken	347,780	491,044
Less: Dividends		10,000	10,000
Ending Retained Earnings	Beg+net income-div	324,221	467,485

The owners project that the business will go from negative net income of ($12,877) to upwards of $347,780 just by removing the meal kits. Aswell the owners believe that the prepared meal will increase 10-30% next year which is a little extreme, although meal prep is on the rise in the U.S the past years numbers show that they probably won't grow that much.

Projected balance sheet

	Assumptions	2019 low	2019 high
Current Assets			
Cash	Same $	$2,716	2,716
Marketable Securities	Same $	19,604	19,604
Accounts Receivable	8 x (Sales/365)	36,260	42,852
Inventory	(Age of inventory ÷ 365) × COGS	31,727	37,496
Total Current Assets		90,307	102,668
Fixed Assets			
Kitchen Equipment, Cost	Same $	255,750	255,750
Packing Equipment, Cost	Same $	100,000	100,000
Leasehold Improvements, Cost	Same $	50,000	50,000
Furniture and Fixtures, Cost	Same $	44,059	44,059
Truck Cost	given	390,000	390,000
Total Cost		839,809	839,809
Less: Accumulated Depreciation	2018 accumulated depreciation + 2019 depreciation expense	117,999	117,999
Total Fixed Assets		721,810	721,810

TOTAL ASSETS		812,117	824,478
LIABILITIES			
Current Liabilities			
Accounts Payable	25 x (Purchases/365)	55,550	66,246
Current portion of long-term debt:	390,000 ÷ 5	78,000	78,000
working capital loan	Balance number	209,654	351,253
Total Current Liabilities		183,550	194,246
Long-Term Liabilities			
truck loan, long-term portion	Loan – first payment	234,000	234,000
Total Long-Term Liabilities		234,000	234,000
Total Liabilities		417,550	428,246
EQUITY			
Preferred Stock		150,000	150,000
Common Stock		180,000	180,000
Retained Earnings		324,221	467,485
Total Equity		654,221	797,485
TOTAL LIABILITIES AND EQUITY		1,071,771	1,225,731

Plug interpretation

The plug found was $209,654 on the low and $351,253 on the high, this number is far greater than the working capital of $50,000 that Gourmet Gusto requested. Seasonality won't affect this number as the changes are in the summer months and the balance sheet is done in December.
Accounts payable is the most unstable. The company says their goal is to get the age of payables down to 25 days. if it goes down the accounts payable will decrease from 127,927 at 40 days to $55,550 on the low and $66,246 on the high with 25. If this happens the working capital will increase to balance the liabilities and equity with the assets. if accounts payable goes up the working capital will go down. it most likely that the plug will go up as the accounts payable decreases because they are removing meal kits and going back the business model from 2016.

This makes me feel more inclined to approve the loan as they are more likely to make their required payments.

Seasonality

The case notes an extra $10,000 working capital need over the summer. Because the balance sheet is dated December 31, seasonality does not affect the projected plug.

Sensitivity Analysis

Accounts payable is the most vulnerable to change. The age of payables was 40.2 days in 2018, and the plan assumes it drops to 25 days which is lower than their best year of 2016 with 30 days. The impact on the plug is If the age of payables decreases or accounts payable decreases then total liabilities and equity decrease, and the working capital loan (plug) increases to balance the assets. The projected plan of 25 days gives us AP low of $55,550 and a high of $66,246, it also gives us a plug low of $209,654 and a high of $351,253. Both high and low projections are above to $50,000 limit, this working capital request is too small to cover the expenses and make us worried about their ability to run their own finances.

Risk assessment

Their current ratios in 2018 were 0.77:1 this shows us they don't have enough assets to pay off all their liabilities at the current moment. The projected current ratios for the low is 0.49:1 and 0.53:1 for the high these are showing a downwards trend as they are even less likely to handle another large loan on top of their current liability. The projected acid tests are low of 0.32:1 and a high of 0.34:1, again showing a decline from the previous year of 0.40:1. The projected Interest Coverage is a low of 26.33X and a high of 36.77X which shows us the business should have a strong ability to cover its interest payments, this makes us feel better about giving a long term loan.

The business model is good for the time, as in the united states the demand for premade meal is rising and expected to grow by 20% by 2023 from 20.5 billion dollars in revenue. As people get educated on health people are moving towards healthy pre made meals because many US citizens do not enjoy cooking.

The two owners of Gourmet Gusto, Simon Burton who is educated with a software engineering degree and Sophie Lacroix who is was a gourmet chef. Because of their past roles and education they know how to make good meals and how to design UI to present the food in a simple and elegant way. We have used their Prepared Meals in the past and we think fondly of them as a business. There recent choices are puzzling and make me

doubt how much we can trust them, they have given a lot of voices to their shareholders and take too many suggestions that may have contributed to the decisions that have been making a dip in growth.

Decision

As Lili Wong, I will choose not to aprove this loan. Gourmet gusto owners project growth that doesn't seam feasible. Secondly the liquidity ratios show that gusto's currently have more liability's and equity than assets so their ability to take on more dept and be able to make payments is low. Finally the company has been in the negative for the past two years with ($14,481) in 2017 and ($12,877) in 2018, which doesn't show good growth.
Gourmet gusto projects that they will go from ($12,877) in Net income to a low of $347,780 and a high of $491,044 in one year. In the case they say the reason they are having trouble is introduction of meal kits as the net revenue growth drops from 46.3% in 2016-2017 to 3.4% 2017-2018, however the meal kits still make $228,382 in their first year (2017). Lickly the cause of the dip in growth comes from the operation cost growing 32.6% from 2016 to 2017. Theres no other reasons given in the case for the slow in growth so we have to assume that the business is struggling to find new customers, this makes me feel uneasy when deciding on approving a loan as they aren't on a great upwards trend.

The business liquidity ratios are very poor, even the projected ratios are below 1 with a low of 0.49:1 and high of 0.53:1, the same story is show with the acid tests both high 0.34:1 and low 0.32:1 being below 1. this tells us they aren't good at paying short term depts. Even though the projected interest coverage has a low of 26.33X and a high of 36.77X. Showing that they have a strong ability to comfortably cover its interest payments from long term loans, it doesn't necessarily mean they can repay the loan principal. The current liquidity is still an alarming red flag. The company doesn't have enough current assets to cover its short-term liabilities. Even after selling its inventory, it would still struggle to pay everything due by the end of next year.

Additionally, the company has been in the net negative for the past two years. In 2018 the net income was $(12,877) the company has been struggling to make a net profit as their operating expenses are growing to much. This is concerning as the owners don't seem to understand how to manage their finances. If the company's projections don't hold and they fall into the negative net income they won't be able to cover the operating costs and will eventually go under.

In conclusion I will not approve this loan as the company doesn't show proof that they can turn around their net income and make a positive. The projected ratios don't give me reassurance that they will be able to pay off their liabilities. On top of that the growth

numbers they project are very high and probably not feasible. Although I want them to succeed I don’t think they are ready to take out a big loan at this time and should turn towards 3rd party services to deliver while they change their business plan until they can improve their finances.